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Disguised Corruption: Evidence from Consumer Credit in China

Contents

1 Big picture

- **Question.** Does a bank use **consumer credit** as a disguised way to bribe government bureaucrats, and can we detect that by comparing the credit granted to bureaucrats with the credit granted to otherwise similar non-bureaucrats?
- **Setting.** The paper studies a **random representative sample of more than 185,000 credit-card customers** from a leading Chinese commercial bank, covering **all 31 provinces and municipalities** in mainland China from **2003:Q1 to 2005:Q4**.
- **Core mechanism.** Local governments are valuable to banks because they affect **branch opening approvals**, **government deposits**, and access to local business. A bank can therefore offer **implicit favors** to bureaucrats through overly generous credit lines and lenient ex post treatment when those bureaucrats become delinquent.
- **Core challenge.** A higher credit line for bureaucrats does *not* by itself prove corruption. It could reflect higher unobserved income, better private information available to the bank, stronger banking relationships, or better financial sophistication.
- **Main contribution.** The paper combines several pieces of evidence into one corruption test:
  1. a matched comparison of bureaucrats and non-bureaucrats with similar observables;
  2. repayment outcomes that test whether bureaucrats are actually better risks;
  3. heterogeneity by **bureaucratic power** and by **regional corruption**;
  4. evidence on **quid pro quo** benefits to the bank, namely branch opening and government deposits;
  5. staggered **corruption crackdowns** as shocks to the risk of investigation.
- **Why it matters.** This paper moves corruption away from the usual "cash bribe" setting and shows that **retail household credit** can be an important corruption channel. It also implies that corruption can show up as **credit misallocation**: favored borrowers get too much credit and ordinary households get too little.
- **Main empirical question.** Are the larger credit lines granted to bureaucrats in China justified by credit quality, or are they better interpreted as **implicit bribes** exchanged for regulatory and business favors?
- **Main empirical results.**
  - In the preferred regressions, bureaucrats receive about **16% higher credit lines** than comparable non-bureaucrats.
  - Bureaucrats are **more likely to become delinquent**, not less likely: in the matched sample, the delinquency differential is about **0.45 percentage points**, or roughly **15%** of the non-bureaucrat delinquency rate.
  - Conditional on delinquency, bureaucrats are also **more likely to be reinstated** and take **longer** to be reinstated, consistent with softer treatment and likely debt forgiveness.
  - The effects are concentrated among **high-rank, non-retiring bureaucrats** and in **more corrupt cities**.

- Regions where bureaucrats receive larger credit premiums subsequently see **more branch opening** and **more government deposits** at the bank.
  - Non-bureaucrats in high bureaucrat-premium cities receive **significantly lower credit lines**; the paper estimates about **16.8% under-provision** in the matched comparison.
  - After province-level anti-corruption crackdowns, the bureaucrat credit premium largely **disappears**, as do the abnormal delinquency and reinstatement patterns.

- **Economic takeaway.** The evidence is most consistent with a simple story: the bank uses consumer credit as a form of **disguised corruption**, rewarding bureaucrats in exchange for political and regulatory favors, and the resulting credit misallocation hurts ordinary borrowers and potentially local growth.

2 Data and measurement (key objects)

2.1 Institutional background: why consumer credit can be a corruption channel

- **Credit cards are economically important in China.** By 2018, Chinese banks had issued hundreds of millions of credit cards, and credit cards had become a major payment instrument for household consumption.
- **The application process resembles that in other countries.** Applicants submit identification, address, occupation, and proof of income, and the bank uses this information to decide both **approval** and the **credit line**.
- **A key institutional feature before 2006.** There was **no nationwide cross-bank information-sharing system** for individual consumer credit histories, except for Shanghai's early local system. This means a bank mostly sees only the applicant's history **within that bank**.
- **Branch-level discretion matters.** Credit approval decisions are delegated at the branch level, and branches also have discretion in ex post credit management, including whether and when to pursue legal action after delinquency.
- **Local governments matter for banks.**
  - Opening a new branch requires local governmental support on location, tax, and environmental approvals.
  - Local governments are important and stable sources of **deposits**.
  - Local state-owned enterprises and local business relationships are often mediated through government connections.
- **Why this is ideal for the paper.** The institutional setting makes it plausible that a bank would want to curry favor with bureaucrats, while the absence of broad external credit-history data makes it harder to rationalize away the results using public hard information.

2.2 Main data source and sample

- **Bank.** The data come from a leading Chinese commercial bank with an extensive branch network across all **31 provinces and direct-controlled municipalities** in mainland China.

- **Sample.** The paper uses a **random representative sample** of the bank's customers, containing more than **185,000 individuals** over **2003:Q1–2005:Q4**.
- **Observed credit-card information.**
  - total credit line granted by the bank,
  - monthly payment status for each card,
  - most recent monthly statement,
  - balance, payment, and outstanding debt.
- **Observed demographics.**
  - age,
  - gender,
  - marital status,
  - income,
  - education,
  - occupation,
  - region and address at origination.

2.3 Treatment group, control group, and matching design

- **Treatment group.** "Bureaucrats" are individuals working in an **administrative agency of the government**.
- **Important exclusion.** The definition *excludes* employees in "institutional organizations" (*shiye danwei*), who are not formal civil servants and have different compensation and power.
- **Share of bureaucrats.** Bureaucrats account for about **7%** of the full sample, much larger than the unconditional population share of roughly **0.86%**. This is consistent with bureaucrats being disproportionately represented among bank credit-card customers.
- **Power measurement.** The bank data record job seniority, allowing the paper to separate **high-rank** and **low-rank** bureaucrats.
- **Matched sample.** To create a valid counterfactual, the authors estimate a propensity score using **age, monthly income, gender, education, and province of residence**, and then apply **nearest-neighbor matching**.
- **Matched sample size.** The matched sample contains about **13,715 bureaucrats** and **13,356 non-bureaucrats**.
- **Interpretation.** Matching removes much of the raw demographic composition gap and makes the comparison between bureaucrats and non-bureaucrats much more credible on observables.

2.4 Key outcome variables

- **Credit line.** The sum of granted limits on all credit cards held by an individual within the bank.

- **Delinquency.** A dummy equal to one if the account is at least **three months past due**.
- **Time to delinquency.** Number of months between account opening and delinquency.
- **Reinstatement.** A dummy equal to one if a delinquent account later returns to normal status.
- **Time to reinstatement.** Number of months between delinquency and reinstatement.
- **Banking relationship.** Months since the customer established any relationship with the bank through a debit card, mortgage, or credit-card account.
- **Sophistication.** Number of banks with which the individual has a relationship through a debit card, mortgage, or credit card.

2.5 Key descriptive facts

- **Full sample differences.**
  - Bureaucrats receive an average credit line of about **RMB 26,498**, versus **RMB 22,869** for non-bureaucrats.
  - Bureaucrats have a delinquency rate of about **4.3%**, versus **3.1%** for non-bureaucrats.
  - Reinstatement rates are **81.4%** for bureaucrats and **76.2%** for non-bureaucrats.
- **Matched sample differences.**
  - Bureaucrats receive about **RMB 26,509**, while matched non-bureaucrats receive about **RMB 21,239**.
  - Bureaucrats are still more delinquent: **4.3%** versus **3.0%**.
  - Conditional on delinquency, bureaucrats become delinquent earlier: **8.9 months** versus **9.9 months**.
  - Conditional on delinquency, bureaucrats are more likely to be reinstated: **81.4%** versus **76.3%**.
  - Time to reinstatement is longer for bureaucrats: **3.8 months** versus **3.2 months**.
- **Interpretation.** Even before the regression analysis, the matched sample already suggests two striking patterns: bureaucrats get **more credit ex ante** and are treated **more softly ex post**.

2.6 Unobservables and measurement limits

- **Hidden income / soft information.** Bureaucrats may have unobserved characteristics that the bank sees but the econometrician does not.
- **Debt forgiveness is not observed directly.** Reinstatement can happen because the borrower repays or because the bank forgives the debt. The paper therefore interprets **higher reinstatement plus longer time to reinstatement** as a strong signal of favorable treatment.
- **Within-bank credit histories only.** Outside Shanghai, the bank cannot observe the applicant's full cross-bank consumer credit history during the sample period.

- **Why the paper still works.** The empirical strategy is designed exactly to deal with these concerns: outcome tests, heterogeneity tests, quid pro quo evidence, and crackdown shocks all aim to distinguish corruption from ordinary credit assessment.

3 Models and empirical specifications (all equations + interpretation)

General note. This paper is mainly a **reduced-form empirical study**. There is no structural model of banking competition or corruption. The central empirical objects are matching procedures, fixed-effect regressions, interaction regressions, and difference-in-differences comparisons.

3.1 Propensity-score matching

The matched control group is built from the propensity score

$$p_i = \Pr(\text{Bureaucrat}_i = 1 \mid Z_i) = \Lambda(Z_i'\pi),$$

where Z_i includes age, monthly income, gender, education, and province of residence.

The authors then use **nearest-neighbor matching** to pair each bureaucrat with an observationally similar non-bureaucrat.

Interpretation. Matching does not solve unobserved heterogeneity, but it ensures that the core bureaucrat/non-bureaucrat comparison is not driven by obvious differences in age, income, geography, or schooling.

3.2 Baseline regression for credit provision and performance

The paper's main regression can be written as

$$Y_{ijt} = \alpha + \beta\,\text{Bureaucrat}_i + X_{ijt}'\gamma + \theta_{jt} + \varepsilon_{ijt},$$

where

- Y_{ijt} is the credit outcome for individual i in city j and relevant time t,
- Bureaucrat_i is a dummy equal to one for government bureaucrats,
- X_{ijt} contains demographics and relationship controls,
- θ_{jt} are city-time fixed effects.

Depending on the exercise,

- $Y_{ijt} = \log(\text{CreditLine}_{ijt})$ for origination-time credit lines,
- $Y_{ijt} = 100 \times \text{Delinq}_{ijt}$ for delinquency,
- $Y_{ijt} = \text{TimeToDelinquency}_{ijt}$,
- $Y_{ijt} = \text{Reinstate}_{ijt}$,

- $Y_{ijt} = \text{TimeToReinstatement}_{ijt}$.

For credit-line regressions, the fixed effects are typically **city** $\times$ **origination-year** effects. For ex post repayment and reinstatement outcomes, the fixed effects are **city** $\times$ **delinquency-quarter** effects.

Interpretation. The coefficient β is the paper's core "bureaucrat premium" estimate. If $\beta > 0$ for credit lines and bureaucrats also look worse on repayment outcomes, then higher credit lines are hard to rationalize as ordinary risk-based lending.

3.3 Quantile regressions for the credit-line distribution

To study whether favorable treatment is stronger in the upper tail, the paper estimates quantile regressions of the form

$$Q_\tau[\log(\text{CreditLine}_{ijt}) \mid \text{Bureaucrat}_i, X_{ijt}, \theta_{jt}] = \alpha_\tau + \beta_\tau \,\text{Bureaucrat}_i + X'_{ijt}\gamma_\tau + \theta_{jt,\tau}.$$

Interpretation. If the bank is granting especially valuable favors to politically important borrowers, one would expect the bureaucrat premium to be larger in the **right tail** of the credit-line distribution. That is exactly what the paper finds.

3.4 Heterogeneity by bureaucratic power and regional corruption

The paper replaces the single bureaucrat indicator with more refined dummies or interactions:

$$Y_{ijt} = \alpha + \beta_H \,\text{HighRank}_i + \beta_L \,\text{LowRank}_i + X'_{ijt}\gamma + \theta_{jt} + \varepsilon_{ijt},$$

and also estimates interaction specifications such as

$$Y_{ijt} = \alpha + \beta \,\text{Bureaucrat}_i + \delta \left(\text{Bureaucrat}_i \times \text{CorruptArea}_j\right) + X'_{ijt}\gamma + \theta_{jt} + \varepsilon_{ijt}.$$

The corruption proxies include:

- a **World Bank government-inefficiency ranking** for Chinese cities,
- a high-ETC indicator based on **travel, entertainment, and conference expenses** of local firms.

Interpretation. These specifications test whether the premium is concentrated exactly where a corruption story predicts it should be strongest: among more powerful bureaucrats and in more corrupt places.

3.5 Second-stage regressions for quid pro quo benefits

The paper first estimates city-year or province-year bureaucrat-premium coefficients from the baseline credit-line regressions and denotes them schematically by $\widehat{\beta}^B_{kt}$.

These estimated premiums are then related to bank benefits. For branch opening, the second-stage equation is of the form

$$\Pr(\text{NewBranch}_{k,t+1} = 1) = a + \lambda \,\widehat{\beta}^B_{kt} + \psi \left(\widehat{\beta}^B_{kt} \times \%\text{BureaucratServed}_{kt}\right) + \phi \log(\text{GDPpc}_{kt}) + \mu_{pt} + u_{kt}.$$

For government deposits, the analogous regression is

$$\log(\text{GovDeposits}_{lt}) = a + \lambda\,\widehat{\beta}^B_{lt} + \psi\left(\widehat{\beta}^B_{lt} \times \%\text{BureaucratServed}_{lt}\right) + \phi\log(\text{GDPpc}_{lt}) + \eta_l + \tau_t + u_{lt}.$$

These are estimated by weighted least squares, using the variance of the first-stage premium estimates as weights.

Interpretation. If excess credit is a favor exchanged for political support, then places where bureaucrats receive larger credit premiums should also be places where the bank later gets more branches or more deposits.

3.6 Crowd-out regressions for non-bureaucrats

To study who loses out, the paper regresses the credit lines of non-bureaucrats on the city-level bureaucrat credit premium:

$$\log(\text{CreditLine}_{ij}) = a + \rho\,\widehat{\beta}^B_j + X'_{ij}\Gamma + \tau_t + u_{ij},$$

or alternatively on indicators for whether a city lies above the median bureaucrat premium.

Interpretation. Under quota-managed lending, a larger amount of favoritism toward bureaucrats should crowd out credit to ordinary borrowers in the same city.

3.7 Difference-in-differences around corruption crackdowns

The crackdown design can be summarized as

$$Y_{ipt} = \alpha + \beta\,\text{Bureaucrat}_i + \delta\left(\text{Bureaucrat}_i \times \text{PostCrackdown}_{pt}\right) + X'_{ipt}\gamma + \text{FE} + \varepsilon_{ipt},$$

where $\text{PostCrackdown}_{pt} = 1$ during the one-year period after a province-level corruption crackdown in province p.

The paper also interacts the branch-opening and government-deposit regressions with PostCrackdown to see whether the **quid pro quo** weakens after anti-corruption investigations.

Interpretation. If the bank is truly engaging in corruption, then a rise in investigation risk should sharply reduce the bureaucrat premium and the associated political benefits.

4 Identification and instruments (what makes the estimates credible)

4.1 Why a naive comparison would fail

- Bureaucrats may earn more than their reported salary suggests.
- Banks may have soft information that the data do not contain.
- Bureaucrats may have stronger relationships with the bank or be financially more sophisticated.
- Powerful borrowers may be treated differently for reasons unrelated to corruption.

A simple comparison of mean credit lines would therefore be unconvincing.

4.2 How the paper handles observable selection

- The authors construct a matched sample based on age, income, gender, education, and province.
- Regressions add rich controls plus city-time fixed effects.
- Banking relationship and sophistication are included directly in the preferred credit-line regressions.

Interpretation. This does not identify corruption by itself, but it substantially narrows the set of alternative stories.

4.3 Outcome-test logic: why delinquency matters

The central identification idea is simple:

- If bureaucrats get larger credit lines because they are **better borrowers**, they should default less, not more.
- If they get larger credit lines because the bank is **favoring** them, then ex post performance can be worse while ex ante credit is still more generous.

The paper finds the second pattern: bureaucrats receive more credit but are also more likely to become delinquent, become delinquent earlier, and receive softer treatment afterward.

4.4 Why reinstatement is especially informative

The reinstatement evidence strengthens the corruption interpretation.

- Bureaucrats' delinquent accounts are more likely to be reinstated.
- Conditional on reinstatement, the time to reinstatement is **longer**, not shorter.

Because interest in China accumulates on the **total balance** rather than only the unpaid portion, ordinary borrowers have strong incentives to cure delinquency quickly. Longer reinstatement times are therefore more consistent with **bank leniency or forgiveness** than with borrower effort.

4.5 Why the inframarginality problem is less damaging here

Outcome tests can fail if one compares averages while the relevant policy margin is different. The paper addresses this by examining delinquency differences within **deciles of credit lines** and **deciles of income**. Bureaucrats are more delinquent in every part of the distribution, especially in the upper tail.

Interpretation. This makes it much harder to argue that the result is driven only by unusual composition at one end of the sample.

4.6 Why rank and geography help identification

- The premium is much larger for **high-rank bureaucrats** than for low-rank bureaucrats.

- Among high-rank bureaucrats, the effect is concentrated in those **not close to retirement**.
- The premium is also stronger in cities that are independently measured as **more corrupt**.

These are exactly the patterns one would expect if the bank is buying influence rather than rewarding hidden credit quality.

4.7 Why quid pro quo outcomes matter

The paper does not stop at showing favoritism. It also shows where the bank appears to benefit:

- more future branch openings,
- more local government deposits,
- stronger links where the bank serves a larger share of local bureaucrats.

This helps complete the corruption story: **favoritism is linked to bank payoffs**.

4.8 Why the crackdown design is powerful

The staggered provincial crackdowns are the cleanest quasi-experimental evidence in the paper.

- The authors identify **22 crackdowns** involving province-level political office holders across **15 provinces** between 2003 and 2005.
- In unreported checks, crackdown timing is uncorrelated with provincial GDP, house prices, and inflation.
- After the crackdowns, bureaucrats no longer receive abnormal credit-line premiums or abnormal ex post treatment.

Interpretation. When the cost of corruption rises, the behavior disappears. That is very hard to reconcile with an ordinary private-information story.

4.9 No classic external instrument, but strong triangulation

This paper does not rely on a standard IV in the main analysis. Instead, credibility comes from **triangulation**:

1. matched comparisons,
2. repayment outcomes,
3. power and geography heterogeneity,
4. bank-benefit evidence,
5. crackdown shocks,
6. robustness in Shanghai and in mortgage/auto-loan data.

Bottom line. No single regression proves corruption by itself, but the full collection of facts is difficult to explain with any story other than disguised favoritism.

Table 1
Summary statistics.
This table reports the summary statistics of bureaucrats and non-bureaucrats in our sample. Panel A provides the sample mean and difference of demographical characteristics for the full sample while Panel B provides the results of a comparison for the matched sample. The matching methodology is the nearest-neighbor propensity score matching based on *age, monthly income, gender, education,* and *province of residence*. All variables are defined in the Appendix. ***, **, and * correspond to statistical significance (of difference in means tests) at the 1%, 5%, and 10% levels, respectively.

	(1) Mean	(2) Std. dev.	(3) Mean	(4) Std. dev.	(5)
Panel A: Full sample					
	Bureaucrat		Non-bureaucrat		Difference
No. of cards	2.5	1.3	2.6	1.3	−0.1***
Banking relationship	15.8	7.5	16.4	7.7	−0.6***
Sophistication	2.4	1.3	2.4	1.2	0.0
Age	38.6	7.5	36.9	8.0	1.7***
Income (RMB)	5372	6564	4627	5413	745***
Female (%)	26.4	44.1	34.0	47.4	−7.6***
College (%)	36.9	48.3	34.4	47.5	2.5***
Married (%)	77.5	41.8	70.7	45.5	6.7***
Credit line (RMB)	26,498	31,245	22,869	26,128	3629***
Delinquency rate (%)	4.3	20.2	3.1	17.3	1.2***
Time to delinquency (months)	8.9	4.6	10.0	5.0	−1.1***
Reinstatement rate (%)	81.4	38.9	76.2	42.6	5.2***
Time to reinstatement (months)	3.8	2.0	3.3	1.6	0.5***
N	13,728		172,086		
Panel B: Matched sample					
	Matched bureaucrat		Matched non-bureaucrat		Difference
No. of cards	2.5	1.3	2.5	1.2	0.0
Banking relationship	15.8	7.3	15.8	7.3	0.0
Sophistication	2.4	1.1	2.3	1.3	0.1***
Age	38.6	7.5	38.6	7.6	0.0
Income (RMB)	5374	6565	5272	6488	102
Female (%)	26.4	44.1	26.7	44.2	−0.3
College (%)	37.0	48.2	35.8	47.9	1.2**
Married (%)	77.5	41.8	77.0	42.1	0.5
Credit line (RMB)	26,509	31,253	21,239	25,834	5270***
Delinquency rate (%)	4.3	20.2	3.0	17.0	1.3***
Time to delinquency (months)	8.9	4.6	9.9	5.1	−1.0***
Reinstatement rate (%)	81.4	38.9	76.3	42.5	5.1**
Time to reinstatement (months)	3.8	1.9	3.2	1.5	0.6***
N	13,715		13,356		

5 Tables and figures

5.1 Table 1: summary statistics

Read:

- Bureaucrats look observably different from non-bureaucrats in the raw data, which is why matching is necessary.
- Even after matching, bureaucrats still receive much larger credit lines and exhibit worse repayment behavior.
- In the matched sample, the average credit-line gap is about **RMB 5,270**; delinquency is **4.3%** for bureaucrats versus **3.0%** for non-bureaucrats.

Takeaway. The raw and matched data already point in the same direction: extra credit to bureaucrats does not come with better ex post performance.

5.2 Table 2 and Figure 1: credit-line premium for bureaucrats

Table 2
Credit line Premium for bureaucrats.
The table reports the OLS regression estimates of the relationship between credit line and bureaucratic status in the matched sample. The dependent variable is the natural logarithm of the total credit line (computed as the sum of granted credit limits of all the credit cards within this bank). Please refer to the Appendix for other variable definitions. All regressions include city*origination year fixed effects. Panel A shows the OLS results. Panel B reports the quantile regression results, where we include the same control variables as used in the regression for Column 5 of Panel A, Table 2. Standard errors are clustered at the city level. Robust *t*-statistics are reported in parentheses. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

Panel A: OLS	(1)	(2)	(3)	(4)	(5)
Bureaucrat	0.173***	0.142***	0.142***	0.150***	0.149***
	(4.52)	(6.06)	(6.04)	(6.86)	(6.66)
Ln(age)		0.672***	0.668***	0.553***	0.545***
		(5.79)	(5.83)	(5.52)	(5.39)
Ln(income)		0.258***	0.258***	0.191***	0.192***
		(11.42)	(11.46)	(8.97)	(8.73)
Female		0.002	0.001	−0.043***	−0.042***
		(0.13)	(0.10)	(−3.01)	(−2.85)
College		−0.399***	−0.399***	−0.315***	−0.316***
		(−9.75)	(−9.74)	(−7.64)	(−7.53)
Married		0.017	0.018	0.082***	0.083***
		(0.85)	(0.92)	(4.45)	(4.41)
Sophistication		0.307***	0.307***	0.303***	0.304***
		(13.59)	(13.63)	(12.38)	(12.19)
Banking relationship		0.001	−0.002	−0.001*	0.001
		(1.32)	(−0.64)	(−1.96)	(0.51)
Constant	9.459***	6.115***	6.249***	6.605***	6.594***
	(108.44)	(14.70)	(17.44)	(21.13)	(21.93)
Origination year FE	N	N	Y	N	N
City FE	N	N	N	Y	N
City*Origination year FE	N	N	N	N	Y
Observations	27,071	24,026	24,026	24,026	24,026
R^2	0.007	0.287	0.287	0.376	0.384
Panel B: Quantile regression					
*N*th Quantile	(1)	(2)	(3)	(4)	(5)
Bureaucrat	0.089***	0.138***	0.138***	0.146***	0.184***
	(6.41)	(10.09)	(10.03)	(8.73)	(4.32)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	Y	Y	Y	Y
Observations	24,026	24,026	24,026	24,026	24,026

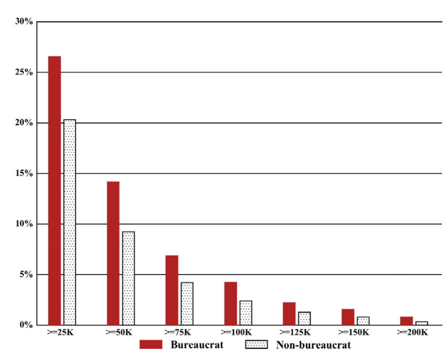

Fig. 1. Credit line distribution among bureaucrats and non-bureaucrats. The figure compares the representation of bureaucrats and non-bureaucrats across the distribution of the (granted) credit line at the time of credit card origination. For a given value of the credit limit *X*, we compute and plot the percentage of bureaucrats with credit limit $\geq X$, as well as the percentage of non-bureaucrats with credit limit $\geq X$.

Read:

- The preferred OLS specification gives a bureaucrat coefficient of about **0.149**, i.e. roughly a **16.0% credit-line premium**.
- The premium survives demographic controls, relationship controls, and city × origination-year fixed effects.
- Quantile regressions show that the premium rises from about **0.089** at the low end to about **0.184** at the high end of the credit-line distribution.
- Figure 1 shows that bureaucrats are increasingly overrepresented in the **right tail** of the credit-line distribution.

Takeaway. Bureaucrats do not just get slightly more credit on average; the favorable treatment is especially strong for the largest and most valuable credit lines.

5.3 Table 3 and Figure 2: delinquency and reinstatement

Table 3
Delinquency and reinstatement for bureaucrats.
The table provides the delinquency and reinstatement outcomes for granted consumer credit using OLS and the matched sample. The dependent variable used for the regressions for Columns 1 and 2 is equal to 100 if the credit card account is at least three months past due, and zero otherwise. The dependent variable used for the regressions for Columns 3 and 4 is the number of months between account opening and delinquency. The dependent variable used for the regressions for Columns 5 and 6 is a dummy equal to one if the delinquent account comes back to normal status (either current or carrying a balance as shown in the data); zero otherwise. The dependent variable used for the regressions for Columns 7 and 8 is the number of months between account delinquency and reinstatements. Please refer to the Appendix for other variable definitions. In all specifications, we include the same controls as in the regression for column 5 of Table 2 (Panel A), as well as the city*delinquency quarter fixed effects. Standard errors are clustered at the city level. Robust t-statistics are reported in parentheses. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

	Delinquency (=100)		Time to delinquency (in months)		Reinstatement (=1)		Time to reinstatement (in months)	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Bureaucrat	1.344***	0.447***	−0.885***	−0.926***	0.052**	0.041**	0.567***	0.558**
	(5.37)	(2.86)	(2.69)	(3.52)	(2.31)	(2.03)	(3.09)	(2.49)
Controls	Y	Y	Y	Y	Y	Y	Y	Y
City*Delinquency Quarter FE	N	Y	N	Y	N	Y	N	Y
Observations	38,118	38,118	1417	1417	1417	1417	1120	1120
R^2	0.007	0.576	0.025	0.488	0.014	0.290	0.032	0.248

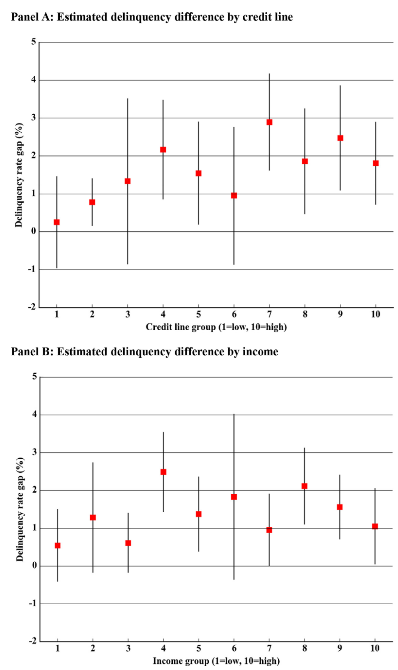

Fig. 2. Delinquency difference between bureaucrats and non-bureaucrats. We plot the estimated delinquency difference between bureaucrats and non-bureaucrats using our matched sample from 2003 to 2005. For each decile of the (granted) credit line distribution (Panel A) or income (Panel B) in the matched sample, we perform an analysis as in Column 2 of Table 3 and obtain the coefficients on *Bureaucrat*, along with the 90% confidence intervals.

Read:

- Bureaucrats are **0.447 percentage points** more likely to become delinquent in the preferred specification.
- Conditional on delinquency, they become delinquent roughly **0.926 months earlier**.
- Conditional on delinquency, they are about **4.1 percentage points** more likely to be reinstated and take about **0.56 months longer** to be reinstated.
- Figure 2 shows that the positive delinquency gap appears within each income and credit-line decile, not just on average.

Table 4
Credit provision and performance outcomes by the power of bureaucrats.
The table reports OLS regression results of the credit outcomes by the power of bureaucrats in the matched sample. The dependent variable for the regression for Column 1 is the natural logarithm of total credit line guaranteed by this bank as of the origination year. The dependent variable for the regression for Column 2 is equal to 100 if the credit card account is at least three months past due, and zero otherwise. The dependent variable for the regression for Column 3 is the number of months between account opening and delinquency. The dependent variable for the regression for Column 4 is a dummy equal to one if the delinquent account returns to normal status (either current or carrying a balance as shown in the data); zero otherwise. The dependent variable for the regression for Column 5 is the number of months between account delinquency and reinstatement. In the regression for Panel A, we use the rank of bureaucrats to measure power. In the regression for Panel B, we decompose *High-rank bureaucrat* into *Retiring high-rank bureaucrat* (near the retirement age) and *Non-retiring high-rank bureaucrat*. Please refer to the Appendix for other variable definitions. In all specifications, we include the same control variables as for Column 5 of Table 2 (Panel A). We include city*origination year fixed effects in the regression for Column 1, and city*delinquency quarter fixed effects in regressions for Columns 2–5. Standard errors are clustered at the city level. Robust *t*-statistics are reported in brackets. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

	(1) Ln (credit line)	(2) Delinquency (=100)	(3) Time to delinquency (in months)	(4) Reinstatement (=1)	(5) Time to reinstatement (in months)
Panel A: Rank of bureaucrats					
Low-rank bureaucrat	0.101***	0.166	−0.270	−0.009	−0.107
	(5.12)	(0.94)	(−0.91)	(−0.35)	(−0.32)
High-rank bureaucrat	0.267***	1.384***	−1.871***	0.131***	1.229***
	(8.79)	(5.52)	(−3.01)	(5.54)	(6.71)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	N	N	N	N
City*Delinquency qtr FE	N	Y	Y	Y	Y
Observations	24,026	38,188	1417	1417	1120
R^2	0.388	0.577	0.500	0.304	0.302
Panel B: Age of bureaucrats					
Low-rank bureaucrats	0.101***	0.170	−0.293	−0.008	−0.098
	(5.13)	(0.97)	(−0.99)	(−0.29)	(−0.29)
Retiring high-rank bureaucrats	−0.045	−0.305	2.272	−0.176	−0.491
	(−0.24)	(−0.96)	(1.17)	(−0.82)	(−0.75)
Non-retiring high-rank bureaucrats	0.270***	1.415***	−1.923***	0.135***	1.257***
	(8.86)	(5.63)	(−2.99)	(5.75)	(7.00)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	N	N	N	N
City*Delinquency qtr FE	N	Y	Y	Y	Y
Observations	24,026	38,188	1417	1417	1120
R^2	0.388	0.577	0.502	0.305	0.304

Takeaway. The bank gives bureaucrats more credit and then treats them more leniently when they perform badly. This is the core empirical contradiction for any pure credit-quality explanation.

5.4 Table 4: by bureaucratic power

Read:

- **Low-rank bureaucrats** receive a credit premium of about **10.6%**.
- **High-rank bureaucrats** receive a much larger premium of about **30.6%**.
- The abnormal delinquency and reinstatement patterns are driven almost entirely by **high-rank bureaucrats**.
- Among high-rank bureaucrats, the effects are concentrated in those **not near retirement**; retiring high-rank bureaucrats do not receive abnormal treatment.

Takeaway. The bank appears to target bureaucrats with actual usable power, not just anyone with a government job title.

5.5 Figure 3 and Table 5: geography and regional corruption

Read:

- Figure 3 shows substantial city-level heterogeneity in the bureaucrat credit premium across China.
- Using the World Bank government-inefficiency measure, the interaction term is about **0.132** for log credit lines and **1.137** for delinquency.
- Using the high-ETC corruption proxy, the interaction term is about **0.170** for log credit lines, with weaker or stronger ex post-treatment patterns depending on the outcome.
- The paper summarizes the economically relevant range as roughly **14.1%–18.5%** higher credit lines for bureaucrats in more corrupt places.

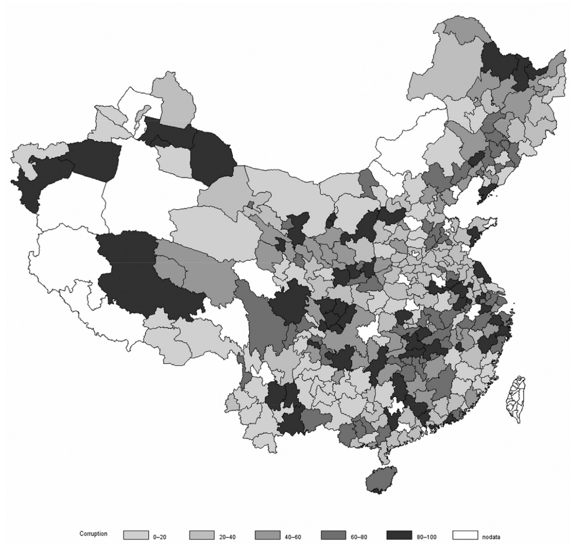

Fig. 3. Distribution of the Bureaucrat credit line premium across cities in China. The figure shows the distribution of the computed bureaucrat credit line premiums across cities in China. The bureaucrat credit line premiums are the coefficients for *Bureaucrat* variable estimated as in Column 3 of Table 2 for each city. All cities are equally grouped into five categories by the 20th, 40th, 60th, and 80th percentile distribution of bureaucrat credit line premium estimates and represented by gradient colors from light gray (least corrupt) to dark (most corrupt).

Table 5
Credit provision and performance outcomes in more corrupt areas.

The table reports OLS regression results, in the matched sample, of the cross-sectional heterogeneity in the credit outcomes by the level of corruption across cities. The dependent variable in the first column is the natural logarithm of total credit line guaranteed by this bank as of the origination year. The dependent variable in the second column is equal to 100 if the credit card account is at least three months past due, and zero otherwise. The dependent variable in the third column is the number of months between account opening and delinquency conditional on the card being delinquent. The dependent variable in the fourth column is a dummy equal to one if the delinquent account comes back to normal status (either current or carrying a balance as shown in the data); zero otherwise. The dependent variable in the last column is the number of months between account delinquency and reinstatement conditional on the delinquent accounts that are subsequently reinstated. We measure the level of corruption across cities based on *WB-govt-inefficiency-rank* (Panel A), *Travel, entertainment, and conference expenses (ETC)* (Panel B). Please refer to the Appendix for other variable definitions. In all specifications, we include the same control variables as in Column 5 of Table 2 Panel A. We include city*origination year fixed effects for the specification in Column 1, and city*delinquency quarter fixed effects for specifications in Columns 2–5. Standard errors are clustered at the city level. Robust *t*-statistics are reported in brackets. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

	(1) Ln(credit line)	(2) Delinquency (=100)	(3) Time to delinquency (in months)	(4) Reinstatement (=1)	(5) Time to reinstatement (in months)
Panel A					
Bureaucrat	0.076**	−0.314	−0.635**	−0.004	0.433
	(2.59)	(−1.36)	(−2.22)	(−0.12)	(1.48)
Bureaucrat x WB-govt-inefficiency	0.132***	1.137***	−1.148**	0.073*	0.526
	(3.58)	(4.00)	(−2.04)	(1.72)	(1.51)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	N	N	N	N
City*Delinquency qtr FE	N	Y	Y	Y	Y
Observations	20,246	31,856	1211	1211	948
R^2	0.370	0.555	0.475	0.269	0.242
Panel B					
Bureaucrat	0.015	−0.125	0.010	0.001	0.032
	(0.32)	(−0.32)	(0.02)	(0.04)	(0.11)
Bureaucrat x ETC High	0.170***	0.672	−1.115**	0.074**	0.673**
	(3.29)	(1.61)	(−2.55)	(2.21)	(2.05)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	N	N	N	N
City*Delinquency qtr FE	N	Y	Y	Y	Y
Observations	20,250	31,864	1212	1212	950
R^2	0.371	0.557	0.475	0.271	0.246

Takeaway. The extra credit to bureaucrats is strongest where corruption is independently more likely.

5.6 Table 6: branch opening and government deposits

Read:

- A higher bureaucrat credit premium in a city-year predicts a higher probability of a **new branch opening** the following year.
- The relationship is strongest for the premium given to **high-rank bureaucrats**.
- A one-standard-deviation increase in the bureaucrat credit premium raises the probability of new branch opening by about **3%**, which the paper notes is about **36%** of the sample mean.
- Provinces where bureaucrats receive larger premiums also have **more government deposits** at the bank.
- These relationships strengthen when the bank serves a larger share of local bureaucrats.

Takeaway. The pattern looks like quid pro quo: the bank gives favors to bureaucrats and seems to receive politically valuable business advantages in return.

5.7 Table 7: who loses out?

Read:

- Non-bureaucrats in high bureaucrat-premium cities receive average credit lines of about **RMB 15,968**, compared with **RMB 20,101** in low-premium cities.
- That is a raw gap of about **21%** in the matched sample.

Table 6
Branch opening and government deposits.

Panel A of this table shows the impact of bureaucrat credit line premium at city *k*, year *t* on the probability of a new branch opening of this bank in the following year $t+1$ in the same city. The observation is at the branch-year level. The dependent variable is a dummy variable that equals one if the branch is opened at year $t+1$ and zero otherwise. We run the regression as in Column 5 of Table 2 Panel A and Column 1 of Table 4 for each city and year in the period of 2003–2005, and obtain the coefficient of *Bureaucrat* ($\beta_{B,k,t}$), *High-rank bureaucrat* ($\beta_{HB,k,t}$), and *Low-rank bureaucrat* ($\beta_{LB,k,t}$) for city *k* in year *t*. We also examine how this effect varies with the local market share of our bank proxied by*% Bureaucrat served*. We use the variance of the estimated *Bureaucrat* (*High-rank bureaucrat* or *Low-rank bureaucrat)* coefficients as the regression weights. We include (natural logarithm of) the city-level GDP per capita as controls and year*province fixed effects in all specifications of Panel A. In Panel B, the dependent variable is the natural logarithm of annual government deposits at this bank for each of the 31 provinces in our sample during the 2003–2005 period. We run the regression as in Column 5 of Table 2 Panel A and Column 1 of Table 4 for each of the 31 provinces and for each year in the 2003–2005 period, and obtain the coefficient of *Bureaucrat* ($\beta_{B,l,t}$), *High-rank bureaucrat* ($\beta_{HB,l,t}$), and *Low-rank bureaucrat* ($\beta_{LB,l,t}$) for province *l* in year *t*. We also examine how this effect varies with the local market share of our bank proxied by*% Bureaucrat served*. We use the variance of the estimated *Bureaucrat* (*High-rank bureaucrat* or *Low-rank bureaucrat)* coefficients as the regression weights. We include (natural logarithm of) the provincial-level GDP per capita as controls and year and province fixed effects in all specifications of Panel B. Please refer to the Appendix for the detailed definition of variables. Robust *t*-statistics are reported in brackets. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

Panel A

	$D(\textit{New branch opening})_{k,t+1}$					
	(1)	(2)	(3)	(4)	(5)	(6)
$\beta_{B,k,t}$	0.070**	−0.286**				
	(2.21)	(−2.06)				
$\beta_{B,k,t}$ x% Bureaucrat served		0.932**				
		(2.40)				
$\beta_{HB,k,t}$			0.091***	−0.214*		
			(2.99)	(−1.74)		
$\beta_{HB,k,t}$ x% Bureaucrat served				0.796**		
				(2.29)		
$\beta_{LB,k,t}$					0.023*	−0.002
					(1.65)	(−0.02)
$\beta_{LB,k,t}$ x% Bureaucrat served						0.082
						(0.28)
Constant	−0.074	0.023	−0.111	−0.046	−0.142	−0.215*
	(−0.59)	(0.17)	(−0.95)	(−0.39)	(−1.24)	(−1.83)
Control	Y	Y	Y	Y	Y	Y
Province*Year FE	Y	Y	Y	Y	Y	Y
Observations	4416	4416	4416	4416	4416	4416
R^2	0.232	0.233	0.227	0.228	0.198	0.199

Panel B

	$\text{Ln}(\textit{Government deposits at the bank})_{l,t}$					
	(1)	(2)	(3)	(4)	(5)	(6)
$\beta_{B,l,t}$	0.113***	−0.579				
	(2.74)	(−1.62)				
$\beta_{B,l,t}$ x% Bureaucrat served		0.730**				
		(1.98)				
$\beta_{HB,l,t}$			0.106***	−0.721*		
			(3.30)	(−1.87)		
$\beta_{HB,l,t}$ x% Bureaucrat served				0.859**		
				(2.09)		
$\beta_{LB,l,t}$					0.048*	−0.880
					(1.79)	(−1.55)
$\beta_{LB,l,t}$ x% Bureaucrat served						0.965
						(1.65)
Constant	3.429	3.871	1.125	0.788	2.159	2.888
	(0.95)	(1.05)	(0.33)	(0.23)	(0.58)	(0.77)
Control	Y	Y	Y	Y	Y	Y
Province FE	Y	Y	Y	Y	Y	Y
Year FE	Y	Y	Y	Y	Y	Y
Observations	74	74	74	74	74	74
R^2	0.996	0.996	0.996	0.996	0.996	0.996

Table 7
Credit provision for non-bureaucrats.

The table presents results on the cross-sectional differences in credit line granted to non-bureaucrats. The dependent variable is the natural logarithm of the granted total credit line within this bank as of the origination year. We run the regression as in Column 5 of Table 2 Panel A (and Column 1 of Table 4) for each of the cities in our sample, and obtain the coefficients for city *j* of *Bureaucrat* ($\beta_{B,j}$), *High-rank bureaucrat* ($\beta_{HB,j}$), and *Low-rank bureaucrat* ($\beta_{LB,j}$) in each regression. We define the city as *High bureaucrat credit line premium area* (*Low bureaucrat credit line premium area*) if $\beta_{B,j}$lies above (below) the median of the cross-sectional distribution. We then match non-bureaucrat consumers residing in the *High bureaucrat credit line premium area* with those residing in the *Low bureaucrat credit line premium area*, based on the one-to-one nearest-neighbor propensity score matching on *age, monthly income, gender,* and *education*. Panel A presents the matched-sample summary statistics of non-bureaucrats in those two areas. Panel B reports results of regressions that study, within the matched sample of non-bureaucrats, the association between the total credit line and bureaucrat credit line premium at the city level. City-level measures of bureaucrat credit line premium include $\beta_{B,j}$, $\beta_{HB,j}$, and $\beta_{LB,j}$. Alternatively, we use the dummy variables *Above median* $\beta_{B,j}$, *Above median* $\beta_{HB,j}$, and *Above median* $\beta_{LB,j}$, which equal one if the estimated $\beta_{B,j}$, $\beta_{HB,j}$, and $\beta_{LB,j}$ for city *j* is above the cross-sectional median. All regressions have the same controls as in Column 5 of Table 2 Panel A. Please refer to the Appendix for other variable definitions. Origination year fixed effects are included in all specifications. To address the generated regressor problem, we use the variance of the estimated coefficients on $\beta_{B,j}$, $\beta_{HB,j}$, and $\beta_{LB,j}$ as regression weights. Standard errors are clustered by the city. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

Panel A: Summary statistics of non-bureaucrats in the matched sample

	(1) High bureaucrat credit line premium area	(2) Low bureaucrat credit line premium area	(3) Difference (1)–(2)
Credit line	15,968	20,101	−4133***
Income	4347	4332	15
Age	36.1	35.9	0.2***
Female (%)	33.6	33.8	−0.2
College (%)	46.1	45.0	1.1**
Married (%)	73.8	73.9	−0.1
N	36,982	36,982	

Panel B: Non-bureaucrat credit line discount regression

	(1)	(2)	(3)	(4)	(5)	(6)
	Ln(Credit line)					
$\beta_{B,j}$	−0.530***					
	(−5.15)					
Above median $\beta_{B,j}$		−0.184***				
		(−3.28)				
$\beta_{HB,j}$			−0.317***			
			(−3.45)			
Above median $\beta_{HB,j}$				−0.163***		
				(−3.02)		
$\beta_{LB,j}$					0.028	
					(0.21)	
Above median $\beta_{LB,j}$						0.088
						(1.47)
Controls	Y	Y	Y	Y	Y	Y
Origination year FE	Y	Y	Y	Y	Y	Y
Observations	66,949	66,949	66,949	66,949	66,949	66,949
R^2	0.251	0.245	0.262	0.260	0.230	0.232

- In the regression specification using an above-median bureaucrat-premium indicator, the estimated under-provision is about **16.8%**.
- The crowd-out is tied to overall and **high-rank** bureaucrat premiums, not to low-rank bureaucrat premiums.

Takeaway. Corruption does not just transfer benefits to bureaucrats; it also reduces credit to ordinary consumers.

5.8 Table 8: corruption crackdowns

Read:

- In the one-year post-crackdown period, bureaucrats in treated provinces see lower credit lines, lower delinquency, and weaker reinstatement advantages relative to control provinces.
- In the difference-in-differences regression, the interaction **Bureaucrat** × **Post-crackdown** is about −0.129 for log credit line.
- The same interaction is about −0.474 for delinquency, +1.075 for time to delinquency, and −0.098 for reinstatement.
- The positive link between bureaucrat premiums and **branch opening** or **government deposits** also weakens after the crackdown.

Takeaway. When investigation risk rises, the pattern of favoritism contracts sharply. This is among the strongest pieces of evidence that the premium reflects corruption rather than hidden borrower quality.

Table 8
Evidence from corruption crackdowns.

The table reports the credit outcomes during the one-year period following corruption crackdowns. In Panel A, we compare the average credit outcomes (credit line at origination, delinquency rate, time to delinquency, reinstatement rate, and time to reinstatement) for bureaucrats in the year before and after the crackdown events for the treatment and control provinces, respectively. The treatment group includes provinces that experienced at least one corruption crackdown during our sample period and contains 15 provinces. Each treatment province is matched with a neighboring province from the control group with the event time aligned. Difference-in-difference results are in Panel B. Specifically, we repeat the regressions for Table 2 (Column 5) and Table 3 (Columns 2, 4, 6, and 8) by interacting the *Bureaucrat* dummy with a *Post-crackdown* dummy. *Post-crackdown* dummy is equal to one for accounts opened during the period $(t+1\,m,\ t+12\,m)$ in provinces with a corruption crackdown in month t. In all specifications, we include the same control variables as in Column 5 of Table 2 Panel A, and cluster the standard errors at the city level. In Panels C and D, we repeat the analysis for Panels A and B of Table 6 (Columns 2, 4, and 6) by interacting the independent variables in Table 6 with *Post-crackdown*, which is equal to one during the period $T+1y$ for provinces with a crackdown event in year T. Please refer to the Appendix for other variable definitions. Robust t-statistics are reported in brackets. ***, **, and * correspond to statistical significance at 1%, 5%, and 10% levels, respectively.

Panel A: Univariate comparison of pre- and post-crackdown (Bureaucrats)

	(1)	(2) One year before	(3) One year after	(4) Difference (3) − (2)
Ln (Credit line)	Treated	9.42	9.34	−0.08**
	Control	9.74	9.92	0.18***
Delinquency (%)	Treated	6.61	3.34	−3.28***
	Control	5.85	3.88	−1.97***
Time to delinquency(in months)	Treated	7.57	8.39	0.82**
	Control	9.34	9.41	0.07
Reinstatement (%)	Treated	90.52	85.18	−5.34*
	Control	75.00	81.00	6.00
Time to reinstatement(in months)	Treated	3.89	3.78	−0.12
	Control	3.66	3.74	0.08

Panel B: Regression analysis of credit outcomes

	(1) Ln (Credit line)	(2) Delinquency (=100)	(3) Time to delinquency (in months)	(4) Reinstatement (=1)	(5) Time to reinstatement (in months)
Bureaucrat	0.188***	0.589***	−1.220***	0.067***	0.588**
	(8.90)	(3.63)	(−3.39)	(3.06)	(1.98)
Bureaucrat x Post-crackdown	−0.129***	−0.474**	1.075*	−0.098*	−0.138
	(−3.21)	(−1.99)	(1.95)	(−1.76)	(−0.37)
Controls	Y	Y	Y	Y	Y
City*Origination year FE	Y	N	N	N	N
City*Delinquency qtr FE	N	Y	Y	Y	Y
Observations	24,026	38,118	1417	1417	1120
R^2	0.385	0.576	0.490	0.292	0.251

Panel C: Regression analysis of new branch opening

	(1)	(2) D(*New branch opening*)$_{k,t+1}$	(3)
$\beta_{B,\,k,\,t}$	0.125***		
	(3.48)		
$\beta_{B,\,k,\,t}$ x Post-crackdown	−0.241***		
	(−3.60)		
$\beta_{HB,\,k,\,t}$		0.130***	
		(3.70)	
$\beta_{HB,\,k,\,t}$ x Post-crackdown		-0.167***	
		(−2.68)	
$\beta_{LB,\,k,\,t}$			0.033**
			(2.28)
$\beta_{LB,\,k,\,t}$ x Post-crackdown			−0.018
			(−0.69)
Constant	−0.140	−0.161	−0.136
	(−1.19)	(−1.46)	(−1.20)
Control	Y	Y	Y
Province*Year FE	Y	Y	Y
Observations	4416	4416	4416
R^2	0.239	0.230	0.198

(*continued on next page*)

Table 8
(*continued*)

Panel D: Regression analysis of government deposits

	(1)	(2) Ln(*Government deposits at the bank*)$_{l,t}$	(3)
$\beta_{B,\,l,\,t}$	0.146***		
	(3.46)		
$\beta_{B,\,l,\,t}$ x Post-crackdown	−0.491**		
	(−2.40)		
$\beta_{HB,\,l,\,t}$		0.107***	
		(3.20)	
$\beta_{HB,\,l,\,t}$ x Post-crackdown		−0.059	
		(−0.35)	
$\beta_{LB,\,l,\,t}$			0.053*
			(1.91)
$\beta_{LB,\,l,\,t}$ x Post-crackdown			−0.274
			(−1.26)
Constant	1.784	0.544	1.934
	(0.59)	(0.17)	(0.54)
Control	Y	Y	Y
Province FE	Y	Y	Y
Year FE	Y	Y	Y
Observations	74	74	74
R^2	0.996	0.996	0.996

5.9 Aggregate cost and growth implications

Read:

- The paper estimates that the bank served about **108,486 bureaucrats** in 2005.
- Total credit lines to bureaucrats are about **RMB 2.87 billion**; the **excess** credit-line component relative to comparable non-bureaucrats is about **RMB 572 million**.
- The bad-debt component associated with bureaucrat delinquency and reinstatement is roughly **RMB 15.5 million**.
- Scaling by market shares, the paper produces a rough national range of about **RMB 0.16–28.7 billion** of credit-card corruption, and up to about **RMB 28.36–56.9 billion** once mortgage and auto-loan channels are added.
- A one-standard-deviation rise in the bureaucrat premium is associated with about a **5% decline in small-business creation**; the paper treats this estimate cautiously because it is imprecisely estimated.

Takeaway. The documented corruption channel is not just statistically significant; it is potentially large in aggregate and may have real effects on credit allocation and local growth.

6 Short summary

- **Method.** Match bureaucrats to similar non-bureaucrats, compare credit allocation and repayment outcomes, and then use heterogeneity, second-stage bank-benefit regressions, and anti-corruption crackdowns to test the corruption story.

- **Identification.** The key identification logic is that if bureaucrats truly deserve more credit, they should look safer ex post. Instead, they receive more credit, default more, get reinstated more often, and lose their premium when corruption risk rises.
- **Application.** Consumer credit cards in China, using a representative sample from a leading bank during 2003–2005.
- **Main result.** The paper provides strong evidence that banks extend excess consumer credit to bureaucrats as **disguised corruption**, obtain political favors in return, and crowd out credit to ordinary households.

7 Conclusion

7.1 Core conclusion

- Chinese bureaucrats receive significantly larger credit lines than comparable non-bureaucrats.
- This premium is not explained by better credit performance. In fact, bureaucrats perform worse ex post and are treated more softly by the bank.
- The results are strongest for powerful bureaucrats, stronger in corrupt areas, linked to branch opening and government deposits, and weakened sharply by anti-corruption crackdowns.

7.2 Economic intuition

- The bank can use consumer credit as an implicit transfer to bureaucrats.
- Bureaucrats value extra credit and lenient treatment; the bank values regulatory approvals, deposits, and political access.
- Because total lending is limited, these favors crowd out credit to non-bureaucrats.

7.3 Takeaway

This paper shows that corruption can hide inside ordinary-looking household finance contracts. The main lesson is not only that politically connected borrowers can receive better terms, but also that this kind of favoritism can be detected by combining **credit allocation**, **repayment outcomes**, **political power**, and **policy shocks**. In this setting, all of those pieces point to the same conclusion: consumer credit became a vehicle for disguised corruption.